

STATEMENT OF WORK

under the Master Services Agreement between Contoso Global, Inc. and Initech LLC

Medium-risk executed agreement: the IP license-back for Supplier pre-existing tools deviates from the standard works-made-for-hire position.

Contract ID	CT-5102
Counterparty	Initech LLC
Type	SOW - Statement of Work
Status	Active
Effective date	2025-06-01
Renewal date	2026-06-01
Auto-renew	Yes
Non-renewal notice	60 days
Internal risk rating	Medium
Contract owner	legal@contoso.com

1. Scope of Services

Initech LLC ("Supplier") will design and implement a data integration platform, delivered across three milestones over twelve months.

2. Deliverables & Milestones

M1 — solution design (month 2); M2 — build and integration (month 7); M3 — acceptance and handover (month 12). Each milestone requires written Client acceptance.

3. Fees & Payment

Fixed fee of USD 240,000, invoiced per milestone. Undisputed invoices are payable **Net 45**.

4. Limitation of Liability

Supplier's aggregate liability is capped at the fees paid in the trailing twelve (12) months, with carve-outs for confidentiality and IP infringement.

5. Intellectual Property

Custom deliverables are works made for hire owned by Client on payment; however, **Supplier retains ownership of its pre-existing tools and libraries** and grants Client a perpetual, non-exclusive license-back to use them within the deliverables.

6. Term & Renewal

One (1) year term aligned to the delivery window; auto-renews for one-year support terms unless either party gives 60 days' notice.

7. Governing Law

Governed by the laws of the State of Washington, USA.

8. Data Protection

Supplier processes Client data under the MSA's Data Processing Addendum; sub-processors require prior written notice.

9. Termination

Either party may terminate for material breach with a 30-day cure period, or for convenience on 60 days' notice.

10. Insurance

Supplier maintains commercial general liability insurance of USD 2,000,000 and cyber liability coverage appropriate to a data processor.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

Contoso Global, Inc.

By: _____

Name: A. Rivera

Title: General Counsel

Date: _____

Initech LLC

By: _____

Name: Authorized Signatory

Title: _____

Date: _____